

Lecture 6.

Trust - Express Trust and Implied Trust

Express Trust - formality and certainty

Resulting Trust - presumptions, advancement, contribution

Constructive Trust - common intention, reliance, detriment

Case study: Mo Ying, Luo Xing Juan

- distinguish constructive trust and Proprietary Estoppel

Lecture 7

Proprietary Estoppel - assurance, reliance, detriment

Case study: Cheung v Cheung

Lecture 8 (x)

Equity

- the maxim of equity

- acquiescence approach

Easement

- a third party right over the land
- not a legal title

Basic requirement of Easement

- Servient and dominant tenement concept

Acquisition of Easement

- statutory law

- grant: reservation, express, implied

Lecture 9

Ordinances related to Land Surveyors

- law reform of the ordinances (LSO)
- role of land survey authority
- opinion questions

Discussion paper of Land Title Ordinance

- conversion of the land title
- compensation
- new land first
- exemption of Limitation Ordinance (?)

Revision of the courseworks

Lecture 1

FIRAC. Reasons of land boundary disputes

Lecture 2

Nature of Land Boundary Disputes

Possible Resolutions: Litigation and ADRs

Lecture 3

Law of Evidence: Burden of Proof. Standard of Proof

Nature and Type of Evidence

Weight of Evidence

Primary and Extrinsic Evidence of Land boundary survey

Case study: Lintock v AG

Lecture 4 - 5

Adverse Possession

① Limitation Ordinance (Cap. 347)

② Exclusive Possession and Intention of Possession

Case studies:

- Harvest Good Investment - continuity of limitation period
- Chau Ka Chik Tso - Doctrine of Encroachment
- Wong Tak Yue - animus possidendi

Law Reform of Adverse Possession

- J A Pye (Oxford) Ltd v Graham
- J A Pye (Oxford) Ltd v UK

Alternative Dispute resolutions

- Adjudication

- expert determination
- adjudication process of the land boundary
- hire independent and impartial professional
- make the solution to resolve land disputes
- easy to settle if same expert for both parties
- different surveyors have different opinions over the land boundary
- there is no official adjudicator or organization in Hong Kong currently

- Mediation

- mediator is the neutral third party
- to narrow the gap between the dispute parties
- leading to a resolution in cooperative ways accepted by both parties
- conversations will be concealed, undisclosed to court
- the agreement is a contractual binding

- Arbitration

- arbitrators are professionals to handle the case
- common facts will be found from both parties
- disagreed fact will be distinguished from the reasoning of the issue
- decision from arbitration is contractual obligation should be found by parties
- decision is final and decisive, seldom overturned
- party unsatisfied of the arbitration result, may seek for the legal proceeding

- Negotiation

- discuss some compensation or specific right to be granted
- such as access right (right of way)
- can be established by ~~fe~~ physical features, e.g. fencing between lots
- usually, negotiation is not necessary to be peaceful occupation

Comparisons: court decisions vs ADR

Litigation ⊕ - legal bind

- official judicial mechanism
- decision is final result
- interlocutory (temporary) order can be made from High Court order
- support from 3 tiers of law court
- judgement will be registered at the Land Registry under Land Registration Ordinance

⊖ - costly, lengthy

Adjudication ⊕

- facts can be found from the professional
- judgement will be based on the fact from land surveyor

- ⊖ - judgement is not legal binding from the professional parties
- the fact and judgement will vary across different expert
- more challenging if more than one surveyor involved

Mediation

- ⊕ - involve a professional third party to find out the common ground
 - can narrow down the difference between the parties
 - find out options and alternatives that both parties can accept
 - the discussions will not be disclosed to the further legal proceeding
- ⊖ - the agreement was not legal binding, but a contractual binding
 - may have no result, since there is no judgement
 - if one of the parties is unwilling to discuss with the mediator, it would be useless

Arbitration

- ⊕ - involves professional judgement from the third party
 - can go further into the legal proceeding process
 - the common ground can be identified
 - the disparities can be judged and evaluated from the arbitrator
 - agreement is legal binding
- ⊖ - discussion in the process will be disclosed to the court
 - peaceful occupation of the land and the neighbor relationship will be affected

Negotiation

- ⊕ - cheapest, fastest
 - not involving third party
 - keep the neighbor relationship
- ⊖ - negotiation compensation is neither contractual or legal binding
 - without professional judgement or the third eye

How do land boundary disputes form?

- ① Uncertainty of document and granting procedure
 - primitive survey techniques in the NT
 - DD survey with plain table survey and survey chain
 - small scale map in 1:3960 and 1:1980
 - lines mapped the boundary coarsely
 - schedule book area and dimension may be wrong.
 - Case: Lintock. 0.127 or 1.27
 - copy error from Field Area Statement
 - missing DD sheet and lots cannot depict the locality of the land lot
 - after the BGL, the new grant followed the fixed boundary concept, no boundary survey undertaken
- based on area and dimension, the land grant plan area was seldom attached
- the land grant plan is for identification only, no legal status, worse than BGL
- new-new grant is similar to old-new grant, most of them drawn on DD control sheet
- area is not primary evidence, granted vs actual boundary may be different
- double grant may happen
- for urban grant, lease plan only depicts the dimension and area
- plan areas lack geo-referencing systems until 60s
- lack of manpower → no lease survey
- solicitor (not surveyor) creates assignments and subdivisions until est. of Land Survey Ordinance

How do land boundary disputes form?

① Uncertainty of document and granting procedure (cont.)

- land developments use the LIP for the new granting process
- LIP is for identification only, may not reflect the actual ground condition. Sometimes double grant can occur
- the land resumption exercise arises a similar problem: differences between LIP and ground occupation (land boundary)

② Importance of the land boundary

- land prices rose in the past century, land becomes more valuable
- in the past NT land was cheap. rarely fenced up
- since 70s, the government introduce new town development in NT
- NT land lots are valuable assets for development and hoarding

③ Trespassing intentionally or mistakenly

- trespassing refers to the villager occupying land abandoned land for a certain period
- some of them might mistakenly recognize the extent of the land lot
- some trespassers intentionally occupied abandoned land (legal proceeding to the adverse possession)

④ Land boundary survey was not undertaken

- hard to identify the extent of their own land
- Case: Tam Mo Yin
Tam's family cannot identify land granted from the government

- double grant, same land (Tang Seng v Tang Kuen Kwai)

- land ownership denied (Cheung Yat Fuk v Tang Tak Hong)

⑤ Land boundary survey undertaken by different parties

- after land boundary survey, people may realize the extent of the land boundary and expel the trespasser

- land surveyors might mistakenly demarcate the land → boundary conflicts and disputes

Case: Lam Pak Kau v Yu Yuet Fat ✓

- Lam claims 250mm partition wall from Yu (mid-line of field bund)

- it is impossible to determine the minimal encroachment

⑥ Conflict of Land Use and policy

- depiction of the land contract

- NT grant 75+24 years lease term, then count 75, 24 separately or together. This lease term may affect the continuity of the limitation period → court decided that should treat the lease term as a whole

- the change of sovereignty affects the land contract → how to interpret the limitation period → court decided that limitation period will not be affected by the change of sovereignty

Cases that involve land boundary disputes

- different opinions from different surveyors over a common boundary

(Lam Pak Kau v Yu Yuen Fat)

- land grant document violates historical occupation and intention of grant (Tam Mo Yin v AG)

- claim of third party right, easement, such as right of way

FIRAC Model

- FIRAC refers to fact, issue, reasoning, application, and conclusion

Facts

- produced by the litigation parties
- they have different view point for the issue
- court needs to find out the agreed relevant facts for both parties
- court will consider the evidence (deed, indenture, plans, aerial photos, oral testimony)
- Evidence for land boundary dispute cases
 - root of title, depicted from indenture or plan
 - when the land was granted
 - occupation time and historical land use
 - dimension of the land lot
 - land boundary
 - evidence submitted by expert witness
- in adverse possession case:
 - the solicitor will summarize the fact with expert witness
- the fact accepted by the court for judgement is called "material facts"

Issue

- the court will discuss the issue among the parties in dispute
- question to be decided by the court
- judge will spot out the issue by a list of questions
- to list and guide the judgement and dispute issue determination
- in adverse possession case:
 - the defendant trespassed the land
 - is trespassing act constituting an extinction of title of the Plaintiff over the subject land
 - what is the intention of possession

Reasoning and Rule

- identify relevant law and rule
- can be reference to statutory law and precedent cases
- statutory law includes all the ordinance and regulations, such as CoP
- in adverse possession cases:
 - statutory law is Limitation Ordinance (Cap. 347)
 - precedent cases should have the similar condition for reference
 - the precedent cases can show sufficient degree of exclusive physical control
 - the intention of possession can be either pay rent or animus possidendi (intention)

Application and Analysis

- based on the material facts, to apply the rule and reasoning

Conclusion

- according to the application and analysis, the judges will base on those facts to draw the conclusion

The role of Land Surveyor and Expert Witness

Land Surveyor

- serve as a fact finder, analyze the evidence, provide professional options
- weight the fact and guide the boundary reestablishment survey
- determine and draw the relationship of the land ownership transition

The role of Land Surveyor and Expert Witness

Land Surveyor (cont.)

- documentation based on the evidence to delineated land lot boundary
- the evidence is best to be joint report with both parties
- helps to settle boundary dispute by acting as the middleman to assist the settlement negotiations
- if there are disagreement between surveyor, comprehensive evidence will be affected

Expert witness

- provide the expertise competence to assist the court to make fair judgement
- shall be independent, integrity, impartial
- give opinion to assist the court
- find material fact for the court concerned issue

Adverse Possession and its elements

- refers to someone who is not paper owner, possess a land unlawfully for a period of time (Limitation Period)
- adverse right and entitlement (Possessory Title) will be listed for the adverse possessed people / parties
- the calming of the adverse possession process of factual (physical occupation) vs the legally (paper owner) of the possession of land
- Possessory title $\neq$ ownership. only right to use eg. the occupier dies, the land is returned to the paper owner
- the possessor has equitable interest based on physical occupation
- the trespasser possesses the land without owner's consent

Adverse Possession (cont.)

- a trespasser would not be under tendency relationship

Elements to form Adverse Possession

① over the limitation period

- there is sufficient time of period that the land owner does not take care of the land
- Limitation Ordinance. extinguish the paper owner entitlement
- possessor can aggregate the limitation period with others to maintain the continued possession

② Intention to possess the land

- the word "adverse" means without the paper owner's consent
- if the land was by tendency, the possession was not by adversely, the intention of possessor is weak and in doubt

③ Exclusive Possession

- exclude others to possess the land by quarter, fencing, and gate-locked area
→ adverse possession
- properties should be excluded from others and identifies to be possessor's land
- the trespasser should have absolute physical control of the land

Why the adverse possession was hardly est.
in Tso and Tong land?

- Tso: male resident coming from the same family
- Tong: male resident and villagers from the same village
- Tso and Tong land was the land parcel in the same family/villages, where it is owned in a common manner
- all male residents will succeed the land ownerships from the same village / family
- hardly est. due to limitation periods and terms
- from Limitation Ordinance, sec. 8, in the future interests or disabilities (infants), each of the new born son will succeed the father's linkage to Tso / Tong
- for every new interest (new born baby) requires 24 (18+6) years more limitation period for the adverse possession
- Limitation Ordinance sec 22: for the ^{male} elderly died or becoming disabled, each requires 6 more years expand the limitation period for the adverse possession

Difference between Doctrine of Encroachment and Adverse possession

- | | Doctrine of Encroachment |
|---|--------------------------|
| - doctrine of encroachment should be in a mistakenly intention | |
| - within a tenancy agreement from lessor and lessee such as the government, landowner | |
| - common in encroachment manner: land owner mistakenly depicted the land boundary that encroached the adjoining lot | |
| - lessor ^{ee} cannot adverse possession to the lessor (government), land is bind to tenancy (indenture) | |
| - then the occupied land will be granted to the lessee same as the subject lot lease term (e.g. 2047) | |
| - the occupied land is not in a good title, based on equitable interest, and will be listed in incumbrances | |
| - whether the tenant was entitled to retain possession of the adjoining land | |

Adverse Possession

- someone who is not the paper owner, possess the land for a period of time (limitation period)
- adverse right and entitlement (possessory title) will be listed for adverse possessed people
- claim is a process of factual (physical occupation) vs legal (paper owner) of possession of land
- the possessor has equitable interest based on the continuous and exclusive physical occupation
- the trespasser/squatter is not under tenancy relationship, possess land w/o paper owner's consent, to have intention of possess

Doctrine of Encroachment vs Adverse Possession (TLDR)

- | | |
|---|---|
| - mistakenly action | - intentional action |
| - in a tendency and encroach adjoining land | - w/o legal / contractual bind |
| - defects from land grant process (e.g. low quality land boundary plan, w/o land boundary survey) | - possess land for a long period of time |
| - Limitation Ordinance not directly relevant | - problem: land owner left behind the land, the other possessed it for possessory title |

Common word "silent is consent"

- means no one is innocent
- fundamental land law: possession is at the root of title, whoever possesses the land is presumed to have leasehold ownership
- the land owner should have responsibility for their property
- once the landowner is "silent", which has no land administration actions
- Limitation Ordinance: once the limitation period is over, the land owner will be regarded as giving up the land to the possessor
- Limitation Period:
 - private land < 1991-7-1: 20 years
≥ 12 years
 - government land: 60 years

a long period of time of possession should not be allowed. so staying "silent" is kind of consent to the trespasser

- Within Limitation Period: the land owner should take action with High Court order 113 to get back the adverse possessed land

Responsibility for land surveyors in adverse possession legal proceeding stage

- ① define and determine the land boundary
- ② collect and group up facts eg. aerial images
restore the occupation history of the land
- ③ recover the land boundary and possessed boundary
- ④ prove the encroachment or the possession land parcel

Trust

Formation of Trust

- initial the trust from original owner trustor
- assess pass to beneficiary
- trustee: admin, assess manager
- Trustor pass away, trustee elects new chairman
- beneficiary defines the conditions of trustee
- trustee pass away, no taxation after

Duties of Trustee

- Beneficiary has the beneficial ownership (real)
- Trustor: creates the trust
- Beneficiary: inherits the trust
- Trustee: manages the trust
- trustee:
 - obtain legal title
 - follow conditions by trustor
 - make benefits in terms of trust for the beneficiary, not trustee
 - cannot pay trustee's debt
- sale or other action: consent from beneficiary

Against Conscience

- Innocent third party without consideration
 - breach of trust
 - cannot take interest
- Purchaser knew / ought to have known the trust
 - beneficiary's rights remain (against purchaser)
 - hold property as trustee
- Purchaser with no actual / constructive notice for valuable consideration
 - conscience unaffected
 - absolute defence to beneficiary's claim

Different Types of Trust

- Express Trust
- Implied Trust
 - Resulting Trust
 - Constructive Trust

Formality of Expressed Trust

- ① By will, written and signed
- ② By written statement, declared by grantor or settler
- ③ By parole (word of mouth), no written evidence
- ④ By the witness

Certainty of Expressed Trust

- Intention to create a trust
 - imperative words
 - no precatory words 'recommending'
- Insufficiently defined → transaction void
 - trustor own back property, not beneficiary
- Certainty of beneficiary and objects of trust
 - Fixed trust
 - every beneficiary is ascertainable
 - Discretionary trust
 - trustee defines who to be beneficiary
 - If objects had a purpose:
 - must be defined unless charitable
 - e.g. can define to pay for others
 - If void for certain objects:
 - trustee holds property on resulting trust

Implied Trust

- no deed or document
- trust relationship not defined clearly
- safeguards beneficial interest

Resulting Trust

- usually occurs when:
 - express trust fails
 - purchase in another's name
- presumption:
 - real owner contributes to the price
 - take back their share, continuation to property

Constructive Trust

- breach of trust, common intention
- a party suffers detriment
- the reliance is clear based on common consent
 - regarded as contribution
 - e.g. spending time to take care of owner
- assurance

Resulting Trust

- informal
- if void, result trust back to grantor
- Beneficial interest not effectly disposed
 - 'for A and their children' at the time A was childless
 - back to trustor, not A
- No beneficiary
- Purpose of trust void (charitable purpose fund for-profit)
- Trust void for uncertainty
- Voluntary Conveyance → void
 - nil consideration between near relatives
 - e.g. gift

Void Resulting Trust

- buy with illegal purpose
- gift
- voluntary conveyance

Presumption of Resulting Trust

- contribution to purchase = beneficial interest on property
- both pay, only one in name: both share in trust
- both pay, unequal portion → in trust as tenant in common portion
- time to fixed interest at purchase, can extend to building and improvement
- unequal contribution does not affect assessing interest

Resulting Trust for couples

- presumed to have half-half share
- if only husband pays: advancement else resulting trust to payer(s)

Rebuttal of Resulting Trust

- presumption of advancement
- evidence of purchaser's intention to benefit the holder who has the legal title
 - joint accounts of parent and child
 - not a gift
 - convenience for child management

Constructive Trust

- occurs when : party breach of fiduciary duties or promise
- once breached, look for property interest
- parties presumed by relationship
e.g. purchaser. agent
- beneficiary can trace property transferred by trustee
- trustee should protect client interest
- the Court will use objective test and subjective test
 - objective test : outsider
 - subjective test : as trustee pov
 - test behavior and fairness of their works done
- vendor and purchaser are in constructive trust

Establishment of Constructive Trust

- both express and implied
 - express : contract → equitable interest is gained and issued
 - implied : actual intention, common intention.
assurance from the parties
- 5 basic elements
 - Common Intention : their beliefs, promises made
 - Assurance : duty and contributions applied
 - Reliance : relying on the intention to do something
 - Detriment : based on assurance and reliance, suffers from doing something
 - Reasonability : e.g. owner with this contribution does not give beneficial interest to claimant
→ unreasonable

Basic questions for constructive trust

- Who has the equitable interest
 - no name, with common agreement
→ contribution to property
- Who has worked out the share
 - detriment from contribution
- What is the common intention for agreement
 - means of agreement
 - for succession? by money contribution?
- What is the assurance and reliance
 - money / time contributed

Cohabited constructive trust

- case : Linda and George
- only in boyfriend and his brother's names
- reason : George thinks it would affect divorce proceeding
- Linda contributes to household expenses
- they separated, Linda claims beneficial interest
- she has contribution. common intention. suffered detriment
- her claim was successful

Difference between cohabited and marriage

- couples : apply relationship and contributions
- BF. GF : contributions only

Issues with common intention

Who has the interest

- sole name, tenant in share, or joint name

How to divide shares

- actual shared intentions
- contribution over property

Issues with common intention (cont.)

Act and behavior towards common intention

- by contribution: household expense, house erection
- by development
- by means of detriment of reliance on assurance

Proprietary estoppel

- estop the plaintiff for legal act
- no time or limitation period required
- action is mistakenly possess
- vs adverse possession: clear intention to possess

Constructive Trust vs Proprietary Estoppel

- | | |
|--|--|
| - based on common intention | - focus on behavior |
| - heavier burden of proof | - contribution of development
→ right of possession |
| - prove detriment due to belief | - by acquiescence approach |
| - common intention of shared ownership | - by mistaken intention |
| - frustrated bargain | - supports more types of contribution |
| - beneficial interest required | - wide ranging remedy
(right of way, compensation, transfer of legal title) |

Similarities

- both can apply common intention
- reliance, detriment

Elements for Proprietary Estoppel

- Assurance

- there is verbal promise / acquiescence
- makes trespasser mistaken

- Reliance

- truly believe, put effort to land

- Detriment

- loss of property, money

Adverse Possession vs Proprietary estoppel

- | | |
|--|----------------------------|
| - intentions are different | - contributors to the land |
| - incompatible | - mistakenly occupied |
| - act like landowners | - by contribution |
| - by 3 elements of adverse possession: | - limitation period |
| - intention to possess | - intention to possess |
| - exclusive possession | |

Land Survey Ordinance (cap. 473) Background

- problematic land subdivision
- lots of disputes
- subdivided by solicitor, not land surveyor

Purpose of LSO

- confirm and standardize duty of land surveyor
- improve land surveying industry
 - more clear and consistent
- registration board: qualified LS → ALS
- duties and obligations of ALS
 - disciplinary, penalty of violation
- CoP to guide ALS: consistent survey results

Functions of Land Survey Authority

- maintain land boundary records
- advise the Secretary regarding alleged commission of disciplinary offences of ALS

Deficiencies of LSO

- no decisive power of land surveyor result
- surveyed boundary by ALS is not final result
- decisive: Land Survey Authority
- final result: judgement from the court
- land boundary plan → LSA → district survey office
 - does not mean government accept boundary definition
- standards, CoP no deterrent effect to ALS
 - only some disciplinary action from disciplinary board
- wrongly delineated deed (boundary plan, subdivision plan)
 - re-registration and rectification will be problematic

Land Boundary re-establishment - recommended practices.

- Interpret the intention of grant and subdivision
- search for land record and document
- contrast existing physical features
- look for historical occupation
 - sale and accuracy evaluation
- do a field survey
- 4 corners of deed

Summary of standardization of land boundary determination

- power is limited for land surveyor
- boundary relies on court determination
- no official adjudication system for land boundary dispute resolution
- re-establishment principles, CoP:
 - only recommendations
 - no law enforcement for LS

LSO law reform suggestion

- final result: land surveyor
- enforce all LS-related works attached w/ ALS
- include adjudication process
 - currently unofficial, no legal binding
- confirm ALS work with adjudication
- clear definition of LS and expert witness
 - confidential principle
 - currently LS is expert witness

Duties of LS : Adverse Possession

- define and determine the land boundary
- collect and group up the facts (e.g. aerial photos)
 - restore occupation history
- recover land boundary, possessed land boundary
- proof of encroachment or possession of land parcel

Role of Land Surveyor

- Fact finder
 - analyze evidence, provide professional opinion
- weight the facts, boundary re-establishment survey
- draw the relationship of ownership transition
- Documentation : delineate land lot boundary
 - based on evidence
- Middleman :
 - settle dispute
 - assist negotiations

Role of Expert Witness

- provide expertise competence
- assist court → fair judgement
- 3I: independent, integrity, impartial
- give professional opinion to assist court
- find material fact for court concerned issue

Land Registration Ordinance (cap 128)

- land registration system in HK : deed registration system
- role :
 - keep Land Registry records
 - registration of deeds, conveyances, judgements
 - priority of registered documents, not absolute land entitlement
- not free of mistakes
- Property conveyance : trace chain of ownership, ensure good title

Land Title Ordinance

- plans, other records only for indicating approx. situation and boundary
- plan is in Title Register
- Law amendment
 - New land first
 - Principle of indefeasible title
 - Disapplication of adverse possession on "new land"
 - Indemnity cap
 - Conversion of existing land

New Land First

- only new land with following situations will be registered
 - by way of land sale (auction, tender)
 - by private treaty grant
 - by land exchange (S&R)

Principle of Indefeasible Title

- for new land only, no need for mandatory rectification of former registered owner
- high certainty → provide title certificate
- reduce fraud
 - possession, bona fide and innocent, acquired for valuable consideration

Disapplication of adverse possession on "new land"

- "new land" under LTO being recovered
 - no Limitation Ordinance

Conversion of existing land

- 2.9 million land registers examined before conversion of land title registration
- a few thousand problematic, broken title chain, multiple registers

Easement

- equity to protect third party right
- e.g. right of way, right of light
- rule by equity
- dominant tenement, servient tenement
 - benefited
 - to exercise
- positive easement: give from dominant
- negative easement: provide to servient

Elements of Easement

- dominant and servient tenement
 - cannot be isolated
- must benefit the dominant
- dominant and servient are different parties
- servient has the right to do the easement

Acquisition of Easement

- by statutory law
 - law, ordinances
 - e.g. Electricity Network Ordinance
 - right to build electricity cable
- by grant
 - Reservation
 - rights reserved by previous owners
 - Deed (Express)
 - land registry
 - Implied
 - Doctrine of non-derogation
 - Wheeldon Rule
- by necessity
- common intention

Wheeldon Rule

- case: Wheeldon v Burrows
 - broke wall for easement of light
 - implied grant from vendor nil
- implied grant is sold together with property
- quasi-easement requirements:
 - continuous use intention
 - necessity
 - time of sale: favors first buyer

if right of way before land sale

→ quasi-easement

else if continues behavior

→ Wheeldon Rule

Termination of Easement

- Express Release
- Implied Release
- Change in character of the dominant
- Unity of ownership
- Termination by statute

Case: Wan v Wong

- access to main road cuts defendant's land into two pieces
- defendant wants to merge 2 lands, build a house, so built fences
- Arguments
 - there are more roads
 - field bund is for farmers, not for public access